

stay light on my feet, and reduce my surprises. I want to be broadly right rather than precisely wrong. Elegance in the theories is often indicative of Platonicity and weakness—it invites you to seek elegance for elegance’s sake. A theory is like medicine (or government): often useless, sometimes necessary, always self-serving, and on occasion lethal. So it needs to be used with care, moderation, and close adult supervision.

The distinction in the above table between my model modern, skeptical empiricist and what Samuelson’s puppies represent can be generalized across disciplines.

I’ve presented my ideas in finance because that’s where I refined them. Let us now examine a category of people expected to be more thoughtful: the philosophers.

- * This is a simple illustration of the general point of this book in finance and economics. If you do not believe in applying the bell curve to social variables, and if, like many professionals, you are already convinced that “modern” financial theory is dangerous junk science, you can safely skip this chapter.
- * Granted, the Gaussian has been tinkered with, using such methods as complementary “jumps,” stress testing, regime switching, or the elaborate methods known as GARCH, but while these methods represent a good effort, they fail to address the bell curve’s fundamental flaws. Such methods are not scale-invariant. This, in my opinion, can explain the failures of sophisticated methods in real life as shown by the Makridakis competition.
- * More technically, remember my career as an option professional. Not only does an option on a very long shot benefit from Black Swans, but it benefits disproportionately from them—something Scholes and Merton’s “formula” misses. The option payoff is so powerful that you do not have to be right on the odds: you can be wrong on the probability, but get a monstrously large payoff. I’ve called this the “double bubble”: the mispricing of the probability and that of the payoff.
- * I am selecting Merton because I found him very illustrative of academically stamped obscurantism. I discovered Merton’s shortcomings from an angry and threatening seven-page letter he sent me that gave me the impression that he was not too familiar with how we trade options, his very subject matter. He seemed to be under the impression that traders rely on “rigorous” economic theory—as if birds had to study (bad) engineering in order to fly.
- * Medieval medicine was also based on equilibrium ideas when it was top-down and similar to theology. Luckily its practitioners went out of business, as they could not compete with the bottom-up surgeons, ecologically driven former barbers who gained clinical experience, and after whom a Platonic clinical science was born. If I am alive, today, it is because scholastic top-down medicine went out of business a few centuries ago.